

Marketing

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PMAP 3210 Chapter 9



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What is Marketing?

- American Marketing Association (2013): “Marketing is the activity and process for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.”
- More simply, marketing is the activities of an organization that are meant to create an exchange between the organization and an outside individual or group
- Two major components to marketing:
 - ① Developing the message that needs to be communicated
 - ② Delivering the message through some medium
- The message behind a marketing strategy is generally grounded in a *theory of marketing*

Theories of Marketing

- Change Theory:
 - People act based on their current stage of change [pre-contemplation, contemplation, preparation, action, confirmation]
- Social Cognitive Theory:
 - Behavior is based on the social environment we live in
 - Social behavior of those around us influences our behavior
- Exchange Theory:
 - People want to engage in mutually beneficial exchange
- Shareholder Theory:
 - Identifying the various individuals and groups that are key to organizational operation and making sure their needs and preferences are met
 - Internal stakeholders: staff / personnel, board
 - External stakeholders: donors, recipients of aid, regulators, the public

Tools of Marketing

- Organizations of all types use the following general tools for marketing:
 - 1 Strategic marketing plan
 - 2 Marketing mix
 - 3 Environmental Analysis
 - 4 Persona (Demographic) Characteristics
 - 5 Communications and public relations (saved for next week)

Strategic Marketing Plan

- The strategic marketing plan sets the general plan for the overall marketing strategy
- This establishes the following:
 - Overall goal of the plan
 - 3-5 specific and measurable objectives to achieve the goal
 - Establish the target audience
 - Establish best strategies to communicate with the target audience
 - Establishes tactics to meet the goals
 - Establishes the roles and responsibilities of personnel
 - Creates a step-by-step work plan
 - Estimates a budget
 - Considers how the goals will be evaluated

- The marketing mix lays out the characteristics of the services your organization offers:
- The “5 P’s”
 - Product (service)
 - Price
 - Place
 - Promotion
 - Policy

Environmental Analysis

- Sometimes called a “SWOT” (strengths, weaknesses, opportunities, and threats) analysis
- Creates an understanding of how organization fits in with its external and internal environments
- 2x2 Matrix [Internal, External]x[Positive, Negative]
- Positive, Internal – Strengths
- Negative, Internal – Weaknesses
- Positive, External – Opportunities
- Negative, External – Threats

Persona (Demographic) Characteristics

- Personas are fictional (but typical) profiles of donors / customers / recipients
- Each persona represents a segment of your target market
- Each persona is based on the following items:
 - Demographic information: income, gender, age, religion, race/ethnicity, etc
 - Psychographic information: Values (political affiliation and religious affiliation), attitudes, opinions, lifestyle, personality, etc
 - Behaviors: Communication preferences, relationship to the nonprofit, donation history, etc.

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Difference Between Marketing and Fundraising

- There is a lot of overlap between marketing and fundraising; however, there is a key difference:
- Marketing is fundamentally transactional – it is built on mutual exchange
- Donations may have conditions applied; however, there are no direct return benefits expected from a donation
- Despite this key difference, many of the techniques used in fundraising are useful for marketing and vice-versa

What Nonprofits Market

- Nonprofits market a variety of different goods and services across the various different NTEE subsectors
- These include but are not limited to:
 - Services and programs
 - Goods
 - Experiences
 - Concepts
 - Group Benefits

How Nonprofits Market

- Nonprofit organizations have an incredible array of options to market themselves:
 - 1 Paid media – radio, TV, newspapers, billboards, etc
 - 2 Commercial media – Press releases, op-eds, blogs, podcast interviews
 - 3 Owned media – In-house publications
 - 4 Direct marketing – contacting individuals directly (mail, telephone, email, door-to-door, etc)
 - 5 Event marketing – Sponsored events (golf tournaments, 5Ks, etc)
 - 6 Social Media

Nonprofit Branding and Rebranding

- A brand is an organization's image, including all factors distinguishing an organization from its competition such as:
 - Reputation
 - Logo
 - Taglines
 - Fonts
 - Style
- A brand is a way to build trust through appearance, and is crucial in building donor trust
- Sometimes through time or crisis, a nonprofit will need to rebrand to change its image

“Poverty Porn” and Marketing with Dignity

- Marketing by definition exists to persuade behavior.
- This is effectively done by evoking strong emotions
- Combined with the natural curiosity in suffering innate in human nature organizations have perverse incentives to focus on suffering through “poverty porn.”
- It is crucial to never sacrifice dignity for impact
- Every person depicted in a marketing campaign or fundraising campaign is a real person

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Discussion Question

- Nonprofit organizations often face unique challenges in marketing their causes and services. How can nonprofit organizations effectively market themselves to raise awareness, attract donors, and engage their target audience? Provide specific examples either from your own personal experience or from a nonprofit similar to your organization to support your arguments.